MINISTRY OF EDUCATION, SINGAPORE
in collaboration with
CAMBRIDGE ASSESSMENT INTERNATIONAL EDUCATION
General Certificate of Education Advanced Level
Higher 2

ECONOMICS

9757/01

Paper 1

October/November 2021

2 hours 15 minutes

No Additional Materials are required.

READ THESE INSTRUCTIONS FIRST

An answer booklet will be provided with this question paper. You should follow the instructions on the front cover of the answer booklet. If you need additional answer paper ask the invigilator for a continuation booklet.

Answer **all** questions.

The number of marks is given in brackets [ ] at the end of each question or part question.

Extract 2: Shrinking prospects for shrimp farmers as India faces a global slump

The cascading effects of the Covid-19 (coronavirus) pandemic in 2020 have had a striking impact on shrimp trade in India – farmers of the shellfish have been losing their livelihoods, and experts are expecting more disruption to come.

Around 80 per cent of all farmers in the village of Baguran Jalpai, which is close to the Bay of Bengal, have switched to shrimp farming recently because of relatively high revenues. But fears of losing all their hard-earned income at a single stroke have been growing with the spread of Covid-19.

Sunil Mahata, a shrimp farmer who lives in the village, expects heavy losses if the situation doesn't change in the next few months. 'I invested around US$6500 for 200 000 tiny shrimp just ten days before India's lockdown was announced. I have to spend money on feeding the shrimp and also on medicines for my family.'

An industry expert said, 'The cold storages were full of seafood and the small-scale shrimp farmers were forced to sell their product at 10 per cent of the normal price to get rid of it. I fear that many of them will go out of business. Large quantities of seafood were destroyed because there was no storage place left.'

India is the second largest fish producer in the world, with a total production of 13.7 million tonnes in 2018-19. The industry employs over 16 million people in the seafood business.

Indian exporters fear that major buyers like France, Italy, Spain, the United States (US) and Portugal might be forced to reduce their orders, as their economies will take a long time to recover from the damages of the pandemic.

An exporter said 'India's shrimp production will not be the same as before, as farmers have become reluctant to invest in shrimp because of the situation with the pandemic – many will leave the market. The shrimps farmed in India are mostly used in hotels and restaurants across the globe, and the whole hospitality and dining sector might take a hit if the pandemic keeps customers away. But maybe the situation won't be as bad as is being envisaged. We should wait and watch rather than becoming too negative over it.'

Source: The Fish Site, 23 April 2020

(a) Using a demand and supply diagram, explain why the rise in the price of salmon led to the change in the price of cod in Norway. [2]

(b) With reference to Extract 1 and Figure 1:

(i) Using a diagram, explain the likely impact of the disagreement between fishing workers and boat owners in Iceland on the market for cod in 2017. [2]

(ii) Suppose a maximum price of Iceland cod of €2.25 per kg had been operating since March 2016.

Explain the impact such a maximum price would have had on the market for Iceland cod. [2]

(iii) Explain how 'large stockpiles of frozen cod in Iceland' can be used to keep cod prices stable, and identify **two** difficulties in operating such a scheme. [4]

(c) Explain why many small-scale shrimp farmers in India took the decision to shut down production in the short run and leave the market in 2020. [2]

(d) Discuss whether Barramundi Asia's plan to increase its scale of fish production is likely to benefit consumers. [8]

(e) Due to fears over climate change and a growing demand for plant-based diets, many consumers are changing from animal protein to vegan alternatives.

Discuss whether demand factors or supply factors have a greater impact on the market for fish in the long run. [10]

[Total: 30]

Extract 6: Economists see Vietnam as a bright spot amid growing global trade tensions

Vietnam is expected to be one of the world's fastest growing economies in 2019, and a key destination for manufacturers relocating due to trade tensions between the United States (US) and China. With strong domestic demand and increasing FDI, 6.7% growth in GDP is forecast in 2019, similar to the official growth target of 6.8%. Monetary policy is likely to remain helpful, with economists expecting the central bank to keep the base interest rate steady at 6.25% for the rest of the year.

As US–China trade tensions continue and tariffs reduce China's exports, manufacturers have had to consider shifting production to other locations – with Vietnam as one key alternative. Several public infrastructure development projects, including construction of new roads and expressways and development of the logistics sector are expected to be completed before 2030 enabling Vietnam to compete with other countries in the Greater Mekong region (Cambodia, China, Laos, Myanmar, Thailand and Vietnam itself) to become ASEAN's distribution hub. Labour costs in Vietnam also remain relatively low compared with China and Thailand. Minimum wages in Vietnam range from US$126 to US$180 per month across different regions, which is 38% to 54% of that in China (US$332 per month).

FDI flows into Vietnam rose by 9.1% in 2018 to reach US$19.1 billion. For 2019, Vietnam's FDI is on track to exceed US$20 billion as multinational enterprises divert operations from China.

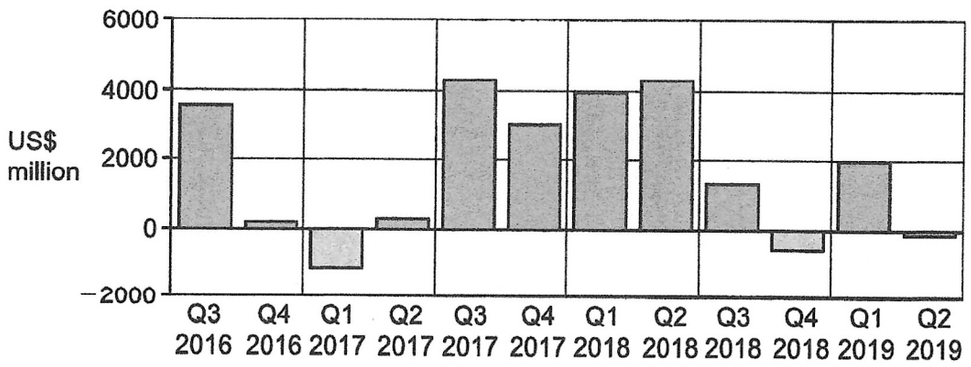
In 2019 so far, China has been the largest contributor to Vietnam's FDI inflows, contributing nearly 25% of the total. This suggests that the impact from US–China trade tensions that arose in the first half of 2018 is having a significant effect on China-based manufacturers.

Nearly 75% of FDI inflows to Vietnam in 2019 so far have been concentrated in manufacturing. This is unlike in previous years, where FDI was more evenly distributed across industries.

Since mid-2018 when trade tensions began, Vietnam's exports to the US have been growing faster than its overall exports. There is rising concern that the US might impose tariffs on Vietnam's exports to the US. This is because Vietnam is the country with which the US has the sixth largest trade deficit – one that is also rising.

Source: The Business Times, 22 August 2019

Figure 2: Vietnam's Current Account Balance, July 2016 to July 2019



Source: tradingeconomics.com | The State Bank of Vietnam

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ECONOMICS

9757/02

Paper 2 Essays

October/November 2021

2 hours 15 minutes

No Additional Materials are required.

READ THESE INSTRUCTIONS FIRST

An answer booklet will be provided with this question paper. You should follow the instructions on the front cover of the answer booklet. If you need additional answer paper ask the invigilator for a continuation booklet.

Answer **three** questions in total, of which **one** must be from Section A, **one** from Section B and **one** from **either** Section A or Section B.

The number of marks is given in brackets [ ] at the end of each question or part question.

Section B

One or two of your three chosen questions must be from this section.

4 The rate of unemployment in more than 50 of the world's countries, including several European countries, exceeds 10%. Governments face a difficult decision about whether income tax rate cuts are the most effective policy measure to reduce unemployment to more acceptable levels.

(a) Explain how a reduction in the rate of income taxes paid by workers and firms might have consequences on an economy's aggregate demand and aggregate supply. [10]

(b) Discuss whether a reduction in the rate of income taxes is likely to be the best policy measure to reduce high unemployment in a country. [15]

5 Singapore currently has a low rate of inflation and a persistent surplus on the current account of its balance of payments. However, unexpected external developments such as the outbreak of disease, natural disasters or increases in global raw material prices always represent potential risks to Singapore's economy.

(a) Explain how a modest and gradual appreciation in Singapore's exchange rate might affect Singapore's rate of inflation and its current account balance. [10]

(b) Discuss whether the modest and gradual appreciation in Singapore's exchange rate is likely to be the best policy to manage the effects of unexpected external developments. [15]

6 The annual rate of real GDP growth in Singapore dropped from 4.6% at the start of 2018 to 1.2% at the start of 2019. However the Gini coefficient remained stable at around 0.46.

(a) Explain **one** potential demand-side cause and **one** potential supply-side cause of real GDP growth. [10]

(b) Discuss whether a reduction in the rate of real GDP growth makes it harder for Singapore to achieve both inclusive growth and sustainable growth. [15]

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Answer **three** questions in total.

Section A

One or two of your three chosen questions must be from this section.

1 The market for bicycles is often said to generate external benefits such as reduced traffic congestion and reduced air pollution.

(a) Explain how economic theory suggests consumers act rationally to decide whether or not to buy a bicycle, and how producers of bicycles act rationally to determine their level of output. [10]

(b) Discuss how government intervention in the market for bicycles could be used to maximise social welfare and consider how likely it is that such intervention will be successful in achieving this aim. [15]

2 In recent years the United States (US) government has increased tariffs (import taxes) on a wide range of imported goods from China.

(a) With the aid of a diagram, explain what is meant by consumer surplus and producer surplus. [10]

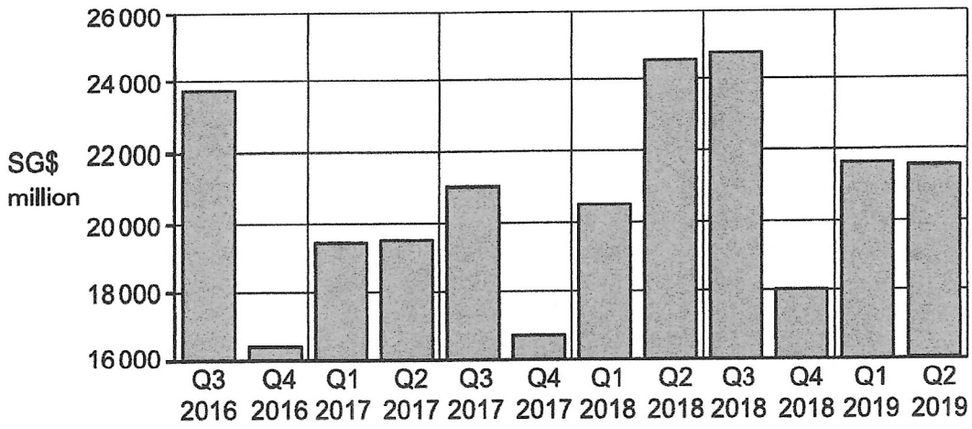
(b) Discuss the view that all economic agents in the US economy will lose from the introduction of tariffs on imported goods from China. [15]

3 Singapore's telecommunications (telco) market is dominated by four firms – SingTel (32%), StarHub (25%), M1 (22%) and new entrant MyRepublic (15%). Commentators argue that Singapore's telco market might be considered to be an oligopoly.

(a) Explain why Singapore's telco market might be considered to be an oligopoly and how economic theory suggests this market structure would affect the firms' pricing and output decisions. [10]

(b) Discuss how government intervention in Singapore's telco market could protect consumers, and consider the extent to which such intervention will be successful. [15]

Figure 3: Singapore's Current Account Balance, July 2016 to July 2019



Source: tradingeconomics.com | Statistics Singapore

(a) State what is meant by foreign direct investment (FDI) and identify the component of the balance of payments accounts in which FDI is recorded. [2]

(b) **(i)** Explain the opportunity cost of investment expenditure that uses domestic funds. [2]

(ii) Using a production possibility curve diagram, show the impact of infrastructure improvements in a country such as Singapore or Vietnam. [2]

(c) Explain how the current account of the balance of payments of Singapore or Vietnam is likely to be affected in the long run by increased FDI. [6]

(d) Discuss whether broad export diversity or specialisation in a narrow range of exports is more likely to be beneficial for an economy engaged in international trade. [8]

(e) Discuss whether a government should encourage domestic investment rather than investment from external sources to improve the standard of living. [10]

[Total: 30]

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Question 1	Extract 3	© Cliff White; SeafoodSource; 28 January 2020
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Question 2: The Impact of Foreign Direct Investment (FDI) Flows in South-East Asia

Extract 5: Singapore in world's top 20 for trade growth potential

Singapore continues to show substantial potential for trade growth, according to a new study. The city-state made it to 16th place in the Standard Chartered Bank's new Trade20 Index, which is a list of the 20 global markets that are most rapidly improving their potential for trade to grow.

Table 1: The Trade20 Index

1. Côte d'Ivoire	6. Vietnam	11. Hong Kong	16. Singapore
2. India	7. Indonesia	12. Russia	17. Switzerland
3. Kenya	8. Thailand	13. Ghana	18. Chile
4. China	9. Oman	14. Sri Lanka	19. Turkey
5. Ireland	10. UAE	15. Bahrain	20. Philippines

This study examined 66 economies, analysing changes across three indicators: economic dynamism, trade readiness and export diversity. In contrast to most traditional trade indices that are based on a market's present performance, the Trade20 Index captures changes over time to reveal the markets that have seen the most improvement in the last decade. This shows the economies where recent positive developments may point to strong trade growth potential.

- Economic dynamism refers to whether a country is developing and innovating in new industries. It is measured by the flow of inward foreign direct investment (FDI), export volume growth and the growth of gross domestic product (GDP).
- Trade readiness refers to whether a country has the foundations to support future trade growth. This is measured by factors such as the quality of infrastructure and the ease of doing business.
- Export diversity refers to the range of goods and services produced and exported. It is measured by the number of different types of products exported.

Singapore's ranking in the index was largely due to its economic dynamism, because of increasing levels of inward FDI. The Singapore government has been expanding the scope of its free trade agreements to keep pace with global developments. In addition, digitalisation is improving Singapore's information and communications sector, while infrastructure improvements are the focus of investment activity. The city-state is implementing long-term policies that will put it in a strong position to cope with the uncertainties of escalating global trade tensions and it is also introducing new technology such as the Networked Trade Platform that will further improve the ease of doing business.

Elsewhere in South-east Asia, Vietnam has substantial trade growth potential. This is because it has engaged in liberalising its economy. It performed particularly well with regard to its trade readiness. This was due to improvements to infrastructure and the ease of doing business.

Both Singapore and Vietnam are being driven by export-oriented manufacturing, growing trade between regions, strong domestic demand, close trading ties with China, and healthy job markets.

Source: The Business Times, 23 September 2019

Extract 3: Barramundi Asia rolls out ambitious growth plan

Singapore-based Barramundi Asia has big plans for growth. The company farms the barramundi fish in deep seawater off Singapore's southern isles, as well as around the Islands of the Kimberley off northern Australia and a new farm set up in Brunei's waters. The company is working to scale annual production up to 50 000 tonnes of barramundi by 2030. Barramundi Asia uses hi-tech automated farming processes, harvesting when its fish get to four to five kilograms in size.

'The overwhelming growth in fish farming for the future is still here in Asia,' said the chief executive officer (CEO). 'Singapore is an international financial hub, and has proximity to our key business activities in Brunei and Australia as well as our local research and development sites.'

Currently, the company's production is around 4000 tonnes, with around 700 tonnes produced in Singapore and 3000 tonnes produced in Australia. It makes around SG$20 million in annual revenue – not enough to make it profitable yet. But that is due to the company's aggressive growth plans for the next ten years. By expanding its operations across its three farming sites, Barramundi Asia says it is on track to produce more than 11 000 tonnes of barramundi fish by 2023. And that could grow by even more if the company adds more new farms.

Because of the geographic distance between its farming operations, Barramundi Asia has found it makes both logistical and financial sense to own and operate its entire supply chain: breeding and processing the fish, managing the farms, as well as running a sales and marketing operation.

Barramundi Asia says it can produce its own vaccines and has methods of farming barramundi fish from small fry to fully-grown fish, as well as a sophisticated sales and marketing operation with online shops, home delivery and a strong brand. It also now has genetics expertise, after starting to work with Temasek Life Sciences, a non-profit organisation specialising in fish genomics and breeding programmes.

'Can we get to 50 000 tonnes? I believe so. It's not going to be easy but we're quite confident,' said the CEO. 'I do believe we have the capabilities in place to deliver on our expansion plans. I'm very high in confidence we can make it happen.'

Source: SeafoodSource, 28 January 2020

Extract 4: Switching to plant-based seafood

Consumers are increasingly looking for healthy and sustainable alternatives to seafood. Novish is a company that produces 100% plant-based substitutes for fish. Their products are 100% vegan and soy free. Novish say they have a delicious flavour, with natural aromas inspired by plants including seaweed and algae. Their fish-free food range will first be presented at an event in the Netherlands, Europe, in January 2020.

The company believe that plant-based seafood is the best way to reduce 'overfishing'. Overfishing is where the stock of fish in the seas is reduced by unsustainable amounts. Using plant-based seafood reduces other sustainability challenges associated with seafood.

Novish say that their key challenge is to develop products that have the taste and texture that appeals to consumers looking for an alternative to fish. They feel this is similar to how other companies offer sustainable alternatives to meat. The company believe that growth in the consumption of plant-based seafood will be much faster than the past growth for meat alternatives. This is because consumers now know about sustainability and health issues.

(the original source for this question cannot be published due to copyright restrictions)

Answer **all** questions.

Question 1: Changes in the market for seafood

Extract 1: Higher cod prices hit Europe's fish consumers

Cod is a sea fish and is the second-most-consumed fish in Europe, behind tuna in first place and ahead of salmon in third. However, Europe's consumers are facing higher cod prices (see Figure 1). This is because of increased demand for Norway's cod caused by the rising price of salmon, and a prolonged disagreement in Iceland between fishing workers and boat owners. Norway and Iceland are two of Europe's major producers of cod.

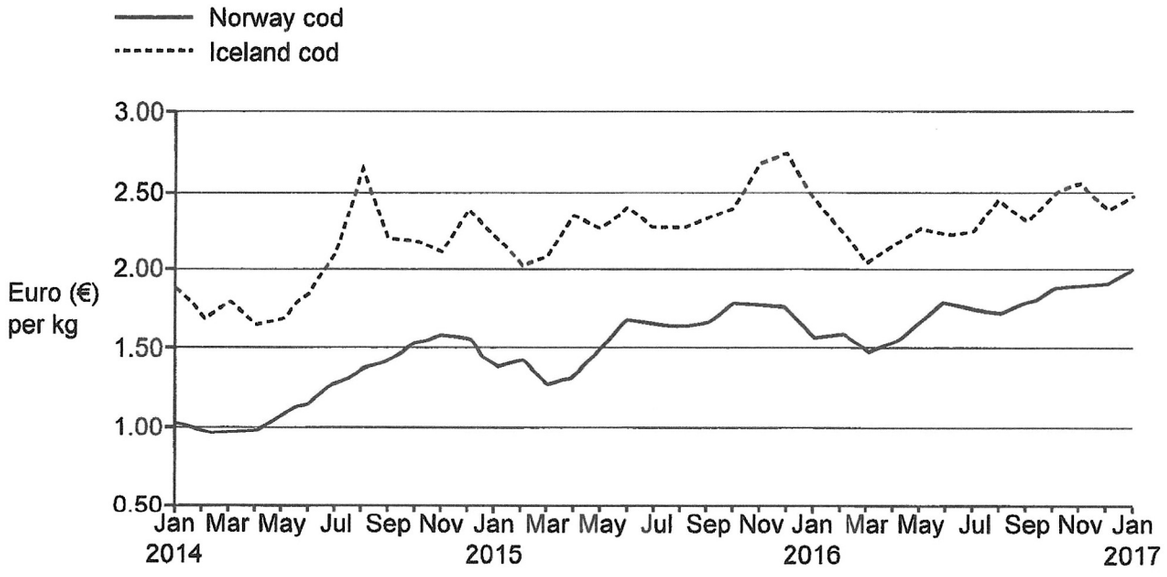
Norway's cod prices have risen by around 25 per cent from a year ago to €2.00 per kg after a 45 per cent rise in salmon prices over the same period led consumers to look for alternative fish.

In Iceland, disagreements between fishing workers and the boat owners have left fishing boats idle in the ports for over two months.

An analyst said that large stockpiles of frozen cod in Iceland have been able to keep prices low for now despite the fall in output, but these stockpiles had started to reduce. He said, 'The peak cod-fishing season in Iceland is typically between February to April, meaning current delays in fishing could reduce supplies and affect prices later in the year.'

The disagreements in Iceland are mostly over the wages for fishermen and fishing industry taxes. The Icelandic government has said it does not want to get involved, but the stalemate in talks means it may be forced to intervene.

Figure 1: European cod prices (Norway and Iceland), January 2014 to January 2017



Source: The Financial Times, 16 February 2017